

we are about 2.8–3% compared to 5.5–6% that most other competing economies have seen,” he pointed out.

This tells us something about the attitude to the rupee’s depreciation—it is a touchy subject.

But Reserve Bank of India (RBI) Governor Sanjay Malhotra, who took charge at Mint Road last December, made clear it after the Monetary Policy Committee’s deliberation that “Our stated objective is to maintain orderliness and stability, without compromising market efficiency”. Accordingly, the central bank’s interventions in the forex market focus on smoothening excessive and disruptive volatility rather than targeting any specific exchange rate level or band. “The exchange rate of the rupee is determined by market forces,” he said.

SOME COMFORT

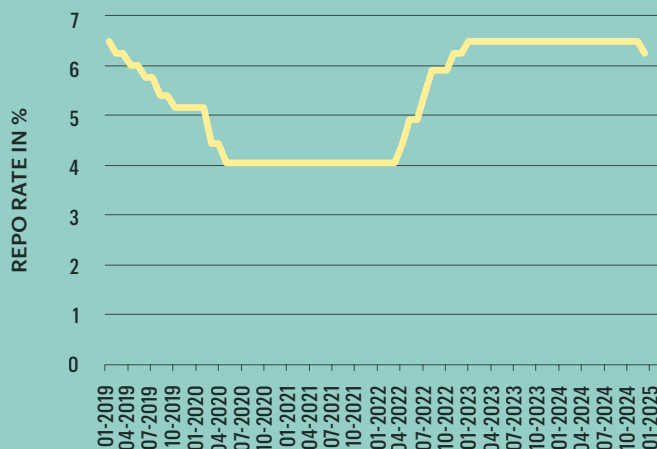
Besides, there are silver linings even with a weaker rupee: the current account deficit (CAD) moderated to \$11.2 billion (1.2% of GDP) in the second quarter of FY25 from \$11.3 billion (1.3% of GDP) in Q2FY24. The World Bank says India remains the largest recipient of remittances globally in FY24, with an estimated inflow of \$129.1 billion. The CAD for this year is expected to remain well within the sustainable level. As at end-January 2025, foreign exchange reserves stood at \$630.6 billion, an import cover of over 10 months or 99% of the external debt. And around two-thirds of foreign currency loans were hedged.

Yet, in December, when the rupee came under pressure, the spotlight was on the central

THE RBI’S DECISION TO CUT THE REPO RATE BY 25 BPS TO 6.25% HAS NOT LED TO LENDING RATE CUTS BY BANKS AS THEIR COST OF FUNDS WILL TAKE TIME TO GO DOWN

CENTRAL ACTION

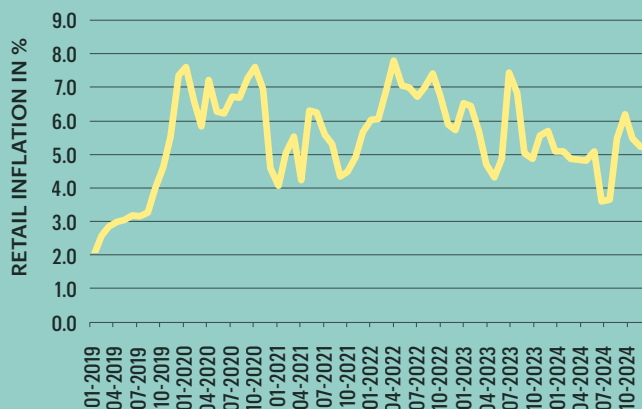
• In recent months, the RBI had been under pressure to reduce the policy repo rate to boost growth



SOURCE RBI

VOLATILE PRICES

• The RBI had raised interest rates beginning 2022 to tackle a spike in inflation



SOURCE MOSPI

SILVER LINING

• A weaker rupee has led to a moderation in the current account deficit

